

as shown in column 1 below. If your personal expenses after taxes, savings, IRAs, life insurance, and the like are higher or lower, you may want to substitute your own figures for those in column 1.

Column 2 is a \$50-a-day budget for a hypothetical 40-year-old American couple who retire according to the rules in this book.

	PRERETIREMENT		POSTRETIREMENT	
	COLUMN 1		COLUMN 2	
Housing	\$ 849	33%	\$ 200	13%
Transportation	579	23	50	3
Food and drink	442	17	300	20
Apparel	171	7	100	7
Entertainment	154	6	500	33
Health care	90	4	150	10
Other	267	10	200	14
Total	\$2,552	100%	\$1,500	100%

Remember that total expenses of \$2,552 in column 1 come from government statistics for the top 20 percent of American households. The *average* household lives on only \$1,440 per month. When you retire on \$50 a day and spend \$1,500 a month, you outspend half of the families in the United States.

Column 1 shows you're spending to support your assets. Your house and car take up 56 percent of your budget. Food, apparel, and other costs are high because of that inflated infrastructure we talked about. Those costs will plummet once you retire, move, and bring a more relaxed pace to your life.

Column 2 shows your expenses when you're retired on \$50 a day. You spend over half of your budget, 53 percent, on food and entertainment. That's a huge increase in spending on *you*. Entertainment of \$500 a month includes airfare, hotels, and eating out when you travel. We'll talk later about